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ANTA Sports | Asia Pacific

1H26 Bucked the Trend; 3Q26 – Look Through Weather Noise

Sales and adjusted NP grew 13% in 1H26, one of the best rates among large-cap consumer companies in our coverage. The results continue to corroborate ANTA's growth sustainability, led by the multi-brand, multi-segment portfolio. Its business model strength should mitigate temporary weather noise.

Our read on the recent trend: ANTA indicates that disruptive weather in July hit both premium and mass brands hard. The challenge has eased in August, with the premium segment quickly resuming momentum; the mass segment is recovering slowly. Descente and Kolon have navigated through macro weakness and registered substantial growth since 2023.

Therefore, we don't take management's comments on July/3Q lightly – we expect to see a broad slowdown for most sportswear companies in China in 3Q, primarily dragged down by July. However, we don't think prolonged weather volatility should be a base case for the industry outlook. Also, consumption could pick up in September, thanks to Mid-Autumn festival calendar shift and seasonal changes.

Overall, we wouldn't extrapolate the July-August trend into 2H26, although consumption demand in the mass segment should stay sluggish.

2026 outlook: ANTA retains its full-year sales guidance – ANTA up low single digits (%), FILA up mid-single digits (%), and niche brands above 20-25%. We think it is still tracking at sales growth of high single digits to 10% for 2026. Its 26.7% OPM in 1H26 (including interests in lease liabilities) was a record high for the group, with FILA, Descente, and Kolon's OPM going up.

Channel quality stands out – ANTA, FILA, Descente, Kolon, and MAIA's store productivity all rose in 1H26, despite a general traffic loss in offline retail in China.

Amer Sports' continuous beat-and-raise pattern helps too – based on the high end of Amer's guidance, it would contribute ~Rmb2bn equity income to ANTA in 2026, up ~Rmb800mn y/y.

Looking into 2027-28, Jack Wolfskin is building up a foundation to capture the growing demand for outdoor from mass-market consumers.

MAIA's store expansion (from ~50 stores now to ~70 by year-end) is a good sign that management thinks its store economics have been good enough for the next step.

We think ANTA's growth outperformance in consumer discretionary within China and globally will persist.

Key earnings takeaways in the next section.

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ANTA Sports Products (2020.HK, 2020 HK)

China/Hong Kong Consumer | China

Stock Rating	++
Industry View	In-Line
Price target	++
Up/downside to price target (%)	-
Shr price, close (Aug 26, 2026)	HK\$78.75
52-Week Range	HK\$106.30-66.85
Sh out, dil, curr (mn)	2,921
Mkt cap, curr (mn)	US\$29,345
EV, curr (mn)	US\$29,256
Avg daily trading value (mn)	US\$94

Fiscal Year Ending	12/24	12/25e	12/26e	12/27e
EPS (Rmb)**	4.27	4.70	5.13	5.62
Prior EPS (Rmb)**	-	-	-	-
Revenue, net (Rmb mn)	70,826	78,680	85,576	93,086
EBITDA (Rmb mn)	17,837	20,898	22,907	24,770
ModelWare net inc (Rmb mn)	15,596	13,662	14,904	16,336
P/E	13.6	15.4	13.2	12.0
P/BV	3.5	3.1	2.6	2.3
RNOA (%)	29.1	22.4	24.9	27.7
ROE (%)	30.3	22.1	21.8	21.6
EV/EBITDA	11.9	9.7	7.9	7.0
Div yld (%)	3.0	3.4	4.0	4.4
FCF yld ratio (%)	(0.8)	5.0	6.1	6.7
Leverage (EOP) (%)	(9.1)	(17.8)	(26.6)	(34.8)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

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Takeaways

Recent trend

QTD remained under pressure, with weather having a greater impact than macro conditions. Performance in August was better than in July, and management expects recovery to continue into September, supported by new products for autumn and holiday calendar shift. Considering that the weather should not be disruptive continuously, management remains confident in achieving its 2026 targets. By brands, both mass and premium brands performed poorly in July. Mass-market brands have shown a limited recovery in August, while premium brands' momentum resumed fast.

ANTA:

The company continued to close underperforming stores. ANTA Core and ANTA Kids store counts declined 1% and 6% y/y respectively, while retail sales were y/y flat and up in low single digits (%) y/y, implying store productivity up 2% and 3%.

GPM improved because of a lower contribution from the wholesale channel, while OPM declined owing to higher Winter Olympics-related expenses and increased R&D expenses.

Store strategy: The company continues to shift its store network from streets toward shopping malls. The strategy for different store formats remains unchanged.

- ANTA Palace is currently growing faster than the overall brand.
- Given the high requirements for product update at Sneakerverse stores, the company intends to keep store count stable.
- Performance of ANTA Superstores varies across regions. The format is now positioned as a one-stop shopping destination, offering broader products than regular stores (like badminton).
- There are more than 500 Lighthouse stores, which are in an upgrade program for street-front stores operated through the franchise channel, mainly located in lower-tier cities. By upgrading the store image and offering a more suitable product mix, the Lighthouse stores can gain market share with ANTA's strong brand equity. Monthly store productivity of Lighthouse stores is Rmb440k, 10% higher than the average level in 2H25.

FILA

Store productivity improved across FILA Classic, FILA Kids, and FILA Fusion (to Rmb1.02mn, Rmb390k, and Rmb460k respectively), alongside improved discount. Apparel returned to high-single-digit (%) growth, with tracksuits growing 50%. Tennis and golf both posted low teens (%) growth, while chunky sneakers also recorded high-single-digit (%) growth.

GPM declined as online sales grew faster, while OPM improved, mainly driven by the closure of underperforming stores and disciplined marketing expenditure. We think its online OPM has also improved

The OPM target remains unchanged at ~25% for the long term, despite reaching ~28% in 1H26.

Descente

Retail sales grew more than 25% in 1H26, with the discount at below 10% off. Hero footwear and apparel sales grew 40% and 50% y/y in 1H26. Monthly store productivity reached Rmb3mn, and the number of stores whose annual store productivity is higher than Rmb50mn increased to 53 vs. 49 last year. Annual active members surpassed 2mn, with the number of high-tier members growing 30%.

Kolon

Retail sales grew more than 45%, with core shell apparel and footwear up 70% and 80%, respectively. The growth driver shifted from outdoor lifestyle products to professional outdoor products. The discount was at below 10% off. Monthly store productivity increased from Rmb2.25mn in 2025 to Rmb2.8mn in 1H26. Kolon also made progress in South China: 1) opening 11 new stores, and 2) higher store productivity increasing from Rmb1.7mn to Rmb2.5mn.

MAIA ACTIVE

The brand remained loss-making in 1H26. It will launch a new store format and new products in 2H26.

Jack Wolfskin

1H26: The focus was on inventory destocking, closure of underperforming stores, and conversion of part of the distribution channel to DTC. Overall progress was in line with expectations, with China performing even better than expected.

2H26: The first new store is scheduled to open in Changchun in September, while a new store in Munich is also planned for 2H26. The brand will launch new products and position itself as a professional, all-terrain hiking brand targeting mass-market consumers, with apparel remaining the key product category.

China will primarily adopt an online and DTC model. In Europe, given the different retail landscape, the company will retain the distribution channel, which is expected to account for 40–50% of sales.

The target is to achieve profitability in 2027. It booked ~Rmb200mn loss in 1H26.

The decline in GPM of other brands was attributable to brand mix change, while GPM improved y/y across all individual brands.

Overseas expansion

Southeast Asia is the first step for overseas expansion, primarily through the ANTA and FILA brands. The company has also started to expand into the Middle East, although progress has been slower than planned owing to ongoing geopolitical conflict.

In Europe and the US, the company is pursuing online penetration and partnerships with leading offline retailers. Amer Sports can help ANTA establish stronger relationships with those retailers, while also providing deeper insights into local consumers.

Overseas revenue is expected to reach Rmb2bn this year, with a target of Rmb10bn in the next five years or so. The group operates ~500 mono-brand stores in overseas markets in 1H26, with 250 for ANTA, 16 for FILA and four for Descente. The rest are mainly for Jack Wolfskin and the stores operated for Amer in Southeast Asia.

Other income

Government subsidies in 1H26 were at a normal level. Changes related to social security contributions are expected to have only a limited impact on the company.

Outdoor industry outlook

Management expects the outdoor industry to continue outperforming the overall sportswear industry over the next three years, with the current focus on increasing penetration in lower-tier cities.

Outdoor penetration in China currently stands at ~30% of total population, well below the 60% level in Europe and the US. Management sees two key growth drivers for the industry:

1. Continued expansion of the consumer base; and
2. A shift in consumer demand from basic products toward more functional and performance-oriented products.

Exhibit 1: Anta: Financials

(RMB millions)	1H22	2H22	1H23	2H23	1H24	2H24	1H25	2H25	1H26	% YoY	2023	2024	2025	% YoY
Year Ended December	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Actual	Actual		Actual	Actual	Actual	
Net Sales	25,965	27,686	29,645	32,711	33,735	37,091	38,544	41,675	43,507	13%	62,356	70,826	80,219	13%
Gross Profit	16,109	16,209	18,755	20,273	21,618	22,414	24,425	25,309	27,792	14%	39,028	44,032	49,734	13%
Operating Expenses	(10,461)	(10,930)	(11,278)	(12,688)	(13,113)	(14,655)	(14,455)	(16,522)	(16,189)	12%	(23,966)	(27,768)	(30,977)	12%
Operating Income	5,648	5,279	7,477	7,585	8,505	7,759	9,970	8,787	11,603	16%	15,062	16,264	18,757	15%
Finance income, net	122	278	502	794	865	854	757	728	664	-12%	1,296	1,719	1,485	-14%
Income before tax, MI	5,592	5,763	7,463	8,177	10,930	10,954	11,161	10,285	14,524	30%	15,640	21,884	21,446	-2%
Income Tax	(1,642)	(1,468)	(2,169)	(2,194)	(2,511)	(2,384)	(3,050)	(2,734)	(3,605)	18%	(4,363)	(4,895)	(5,784)	18%
Net income before MI	3,950	4,295	5,294	5,983	8,419	8,570	8,111	7,551	10,919	35%	11,277	16,989	15,662	-8%
Minority Interest	(362)	(293)	(546)	(495)	(698)	(695)	(1,080)	(994)	(1,432)	33%	(1,041)	(1,393)	(2,074)	49%
Adj. Net Income	3,588	4,002	4,823	5,563	6,142	6,272	7,031	6,557	7,938	13%	10,916	12,414	13,588	9%
As % of total sales														
Gross Margin	62.0%	58.5%	63.3%	62.0%	64.1%	60.4%	63.4%	60.7%	63.9%	0.5%	62.6%	62.2%	62.0%	-0.2%
Operating Expense	-40.3%	-39.5%	-38.0%	-38.8%	-38.9%	-39.5%	-37.5%	-39.6%	-37.2%	0.3%	-38.4%	-39.2%	-38.6%	0.6%
Operating Margin	21.8%	19.1%	25.2%	23.2%	25.2%	20.9%	25.9%	21.1%	26.7%	0.8%	24.2%	23.0%	23.4%	0.4%

Source: Company data, Morgan Stanley Research

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(as of July 31, 2026)

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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target --- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) —
Stock and Industry Ratings (abbreviations below) appear as ♦ Stock Rating/Industry View
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INDUSTRY COVERAGE: China/Hong Kong Consumer

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/26/2026)
Dustin Wei		
ANTA Sports Products (2020.HK)	++	HK\$78.75
Bosideng International Holdings Limited (3998.HK)	O (11/27/2024)	HK\$4.46
C&S Paper Co Ltd (002511.SZ)	U (09/22/2021)	Rmb7.13
Chacha Food Co Ltd (002557.SZ)	U (02/20/2025)	Rmb18.59
Giant Biogene Holding Co Ltd (2367.HK)	O (08/08/2024)	HK\$27.20
Health and Happiness (H&H) (1112.HK)	E (07/12/2021)	HK\$17.63
Hengan International Group (1044.HK)	E (05/06/2021)	HK\$22.52
Li Ning (2331.HK)	O (10/09/2019)	HK\$13.57
Mao Geping Cosmetics Co., Ltd (1318.HK)	O (03/10/2026)	HK\$54.10
Pop Mart International Group (9992.HK)	O (05/17/2021)	HK\$154.30
Proya Cosmetics Co. Ltd. (603605.SS)	O (10/12/2021)	Rmb63.26
Samsonite Group (1910.HK)	O (06/15/2020)	HK\$12.75
Shanghai Jahwa United Co. Ltd. (600315.SS)	U (07/07/2023)	Rmb18.11
Sun Art Retail Group Limited (6808.HK)	E (03/05/2019)	HK\$1.04
Topsports International Holdings Ltd (6110.HK)	E (07/23/2026)	HK\$1.16
Weilong Delicious Global Holdings Ltd (9985.HK)	O (06/11/2025)	HK\$8.15
Yonghui Superstores (601933.SS)	U (05/18/2023)	Rmb3.09
Hildy Ling		
Angel Yeast Co. Ltd. (600298.SS)	E (05/21/2026)	Rmb41.19
Beijing Roborock Technology Co Ltd (688169.SS)	O (09/25/2024)	Rmb131.57
China Tourism Group Duty Free (1880.HK)	E (12/13/2023)	HK\$49.26
China Tourism Group Duty Free (601888.SS)	E (12/13/2023)	Rmb53.08
Chow Tai Fook Jewellery Group Ltd (1929.HK)	O (03/04/2025)	HK\$13.47
Chow Tai Seng Jewellery Co Ltd (002867.SZ)	U (03/04/2025)	Rmb11.20
Ecovacs Robotics Co Ltd (603486.SS)	O (07/09/2026)	Rmb53.78
Foshan Haitian Flavouring and Food (603288.SS)	E (07/28/2025)	Rmb35.93
Foshan Haitian Flavouring and Food (3288.HK)	E (05/21/2026)	HK\$32.66

Haidilao International Holding Ltd (6862.HK)	O (05/26/2021)	HK\$12.25
Hangzhou Robam Appliances Co Ltd (002508.SZ)	U (02/21/2024)	Rmb16.50
Laopu Gold (6181.HK)	O (10/20/2025)	HK\$405.40
Super Hi (HDL.O)	E (01/14/2025)	US\$14.13
Zhejiang Supor Co. Ltd. (002032.SZ)	U (07/27/2026)	Rmb40.80
Lillian Lou		
Anhui Gujing Distillery Company Limited (000596.SZ)	U (02/13/2026)	Rmb92.18
Budweiser Brewing Company APAC Ltd (1876.HK)	O (11/04/2019)	HK\$6.34
Chagee Holdings Ltd (CHA.O)	O (06/02/2025)	US\$10.63
China Mengniu Dairy (2319.HK)	O (09/14/2017)	HK\$18.70
China Resources Beer Holdings Co Ltd (0291.HK)	O (12/11/2018)	HK\$20.42
Chongqing Brewery Co. Ltd. (600132.SS)	U (07/30/2021)	Rmb40.04
Eastroc Beverages (605499.SS)	O (03/12/2026)	Rmb121.30
Eastroc Beverages (9980.HK)	O (03/12/2026)	HK\$112.80
Gree Electric Appliances Inc of Zhuhai (000651.SZ)	E (07/09/2026)	Rmb41.58
Haier Smart Home Co Ltd (600690.SS)	E (01/17/2022)	Rmb21.15
Haier Smart Home Co Ltd (6690.HK)	E (01/17/2022)	HK\$21.52
Kweichow Moutai Company Ltd. (600519.SS)	O (10/17/2014)	Rmb1,302.80
Luzhou Lao Jiao Co. Ltd (000568.SZ)	E (01/23/2019)	Rmb82.72
Midea Group Co Ltd. (0300.HK)	O (11/01/2024)	HK\$98.65
Midea Group Co Ltd. (000333.SZ)	O (01/17/2022)	Rmb86.39
Muyuan Foodstuff Co. Ltd (2714.HK)	O (03/17/2026)	HK\$33.62
Muyuan Foodstuff Co. Ltd (002714.SZ)	O (03/17/2026)	Rmb39.99
Nongfu Spring Co Ltd (9633.HK)	E (07/30/2021)	HK\$44.08
Shanxi Xinghuacun Fen Wine Factory Co. (600809.SS)	O (10/28/2020)	Rmb117.09
Shuanghui Development (000895.SZ)	U (03/16/2021)	Rmb25.07
Tingyi (Cayman Islands) (0322.HK)	E (07/25/2025)	HK\$13.11
Tsingtao Brewery Co Ltd (0168.HK)	E (11/01/2024)	HK\$42.86
Tsingtao Brewery Co Ltd (600600.SS)	E (02/28/2024)	Rmb51.54
Uni-President China (0220.HK)	E (07/25/2025)	HK\$7.66
Want Want China Holdings Ltd (0151.HK)	E (11/29/2023)	HK\$3.35
WH Group (0288.HK)	O (02/24/2025)	HK\$8.07
Wuliangye Yibin Company Ltd. (000858.SZ)	E (08/15/2024)	Rmb71.90
Yanghe Brewery (002304.SZ)	U (01/05/2021)	Rmb39.91
Yanjing Brewery (000729.SZ)	U (09/02/2015)	Rmb11.48
Yili Industrial (600887.SS)	O (01/29/2014)	Rmb26.10
Yum China Holdings Inc. (YUMC.N)	O (03/20/2018)	US\$47.18
ZJLD Group (6979.HK)	E (02/13/2026)	HK\$7.93
Terence Cheng		
Chervon Holdings Ltd. (2285.HK)	E (04/12/2024)	HK\$20.70
Crystal International Group Ltd. (2232.HK)	E (06/23/2025)	HK\$7.06
Gongniu Group Co Ltd (603195.SS)	O (05/08/2023)	Rmb40.33
Hangzhou Greatstar Industrial Co Ltd (002444.SZ)	E (10/26/2022)	Rmb30.26
Huali Industrial Group Co (300979.SZ)	U (02/10/2026)	Rmb34.24
Shenzhen International Group Holdings (2313.HK)	O (07/13/2017)	HK\$37.94
Stella International Holdings Ltd (1836.HK)	E (06/23/2025)	HK\$12.64
Techtronic Industries Co Ltd (0669.HK)	O (12/05/2019)	HK\$137.40
Yue Yuen Industrial Hldg (0551.HK)	E (09/14/2021)	HK\$13.75

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